

Optimal Compensation Systems, Deferred Compensation, and Mandatory Retirement

ECON 300 - Labour Economics

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- Discuss why seemingly inefficient compensation arrangements can be optimal for aligning employer–employee incentives.
- Explain why compensation arrangements may change across time/countries/workplaces.
- Outline the “new economics of personnel” and its insights for HR practices.
- Engage in debates around CEO pay and mandatory retirement.

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Learning Objectives

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Main Questions (1/2)

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- Why do wages rise with seniority? Does productivity rise continually?
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Main Questions (2/2)

- What is mandatory retirement – age discrimination or efficient institution?
- Why are CEO/executive salaries very high, and why have they risen?
- Why does academic tenure exist? When should firms promote from within vs. hire outside?
- When do organizations match outside offers – and what about the winner's curse?

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Raiding, Offer-Matching, and the Winner's Curse

- Asymmetric information drives **raiding** for talent.
- Incumbent firms match if the worker is truly worth the outside offer; otherwise, they do not.
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Piece Rates: Positives and Negatives

- **Benefits:** rewards high output, attracts strong workers, saves monitoring.
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Deferred Wages: Concept

- Wages rise with seniority even if productivity is flat.
- Raises and pension accruals backload pay – requires long-term commitment.
- **Efficiency rationale:** boosts effort/honesty, reduces monitoring and unwanted turnover, screens out low-effort workers, lowers hiring/training costs.

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Figure 13.1(a) – Wage Productivity Profiles: Deferred Wages Contract (Placeholder)

Figure 13.1(a) – Deferred wages contract market.

Insert figure/diagram here later.

Figure 13.1(b) – Wage Productivity Profiles: Spot Market (Placeholder)

Figure 13.1(b) – Spot market.

Insert figure/diagram here later.

Figure 13.1(c) – Wage Productivity Profiles: Deferred Wages with Company-Specific Training (Placeholder)

Figure 13.1(c) – Deferred wages with company-specific training.

Insert figure/diagram here later.

Figure 13.1(d) – General training.

Insert figure/diagram here later.

WORKED EXAMPLE – Deferred Compensation

Assume a worker's VMP is \$10 per hour.

Deferred compensation system: $W = 5 + 0.2T$, where T is tenure in years.

Worker starts at age 20; ignore discounting.

- **Break-even tenure:** set $W = \text{VMP}$: $5 + 0.2T = 10 \Rightarrow T = 25$.
- **Implied mandatory retirement age:** $45 + 25 = 70$.

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Underpayment or Overpayment (Exact Table)

Underpayment or Overpayment	Age	Tenure, T	VMP	$W = 5 + 0.2T$	$W - VMP$
	20	0	10	5	-5
	30	10	10	7	-3
	40	20	10	9	-1
	50	30	10	11	+1
	60	40	10	13	+3
	70	50	10	15	+5

WORKED EXAMPLE – Piece Rates and Team Compensation (Exact Table)

Unit of effort = output (1)	Disutility of Effort		Pay (wage $\times$ effort)		
	Wage per unit of effort (2)	You (3)	El Slacker (4)	You (5)	El Slacker (6)
1	10	5	7	10	10
2	10	6	8	20	20
3	10	7	9	30	30
4	10	8	10	40	40
5	10	9	11	50	50
6	10	10	12	60	60
7	10	11	13	70	70

Do Workers Prefer Deferred Wages?

- Many workers prefer rising wage profiles as **forced saving**.
- Anticipating future consumption itself yields utility (consumption smoothing).
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Executive Compensation: Stylized Facts

- Executive pay has risen relative to average worker pay.
- Typical packages combine base salary with stock options and equity.
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Rationales for Mandatory Retirement

- Enables deferred-wage contracts so $PV(\text{wages}) = PV(\text{productivity})$ to the firm.
- Provides finality to long-term arrangements and an **efficient compensation rule**.
- Opens promotion and employment opportunities for younger workers.
- Increases planning certainty for staffing, pensions, and medical costs; aids workers' pre-retirement planning.
- Reduces monitoring costs for older workers where effort is hard to observe.

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Figure 13.2 – Mandatory Retirement Age (Placeholder)

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Insert figure/diagram here later.

Arguments Against Mandatory Retirement

- Human-rights concerns: potential age discrimination and efficiency loss if productive workers are forced out.
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Impact of Banning Mandatory Retirement

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- Deferred compensation aligns incentives, screens workers, and supports long-term matches.
- Executive pay mixes salary and equity; governance shapes outcomes.
- Mandatory retirement has efficiency rationales but also equitable and efficiency costs; design matters.

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